Higher National Diploma in Quantity Surveying

Second Year, Second Semester Examination – 2018

QS 22032 Contract Law II

Instructions for Candidates:	No. of questions	: 05
Answer four questions only	No. of pages	: 02
All questions carry equal marks	Time	: 02 hours

Question 01

1. Explain the following terms with respect to liability in contract.
   a) Implied terms (02 marks)
   b) Exemption clauses (03 marks)
2. What are the requirements for a contract in a Deed? (05 marks)
3. Briefly discuss the instances which a contract becomes frustrated. (05 marks)
4. Explain the possible methods of termination of a contract. (05 marks)
5. What are the remedies for breach of contract? (05 marks)

(Total 25 marks)

Question 02

1. What are the objectives of the FIDIC? (05 marks)
2. How are the construction documents helping to design a project and administering the contract? (08 marks)
3. What are the methods of Public Procurement? (05 marks)
4. Briefly explain a JCT contract as a standard form contract. (07 marks)

(Total 25 marks)

Question 03

1. Distinguish contract of service from contract for services. (05 marks)
2. Calculate the maternity leave for 3rd baby of Mrs. Thamari who is working with Udaya Engineering Constructions (Pvt) Limited. (05 marks)
3. Identify the sector of each employee given below and briefly discuss the laws applicable to each of the following worker/ employee.
   a) Kapila who works as a valuation officer in the Department of Valuation (01 marks)
   b) Nirmal who works as a human resource manager in Opel (Pvt) Ltd. (02 marks)
   c) Siripala who worked for 5 days as a labourer in the "Athukorala Tea Estate" (02 marks)
4. Sampath has been employed for 20 years in Marga Construction (Pvt) Limited which has 150 employees. When he resigns the job he received the salary of Rs. 60,000/=. Calculate the amount of gratuity entitled by Sampath under the Gratuity Act. (05 marks)
5. How can be summarized the Project Life Cycle of a construction project as stages? (05 marks)

(Total 25 marks)

Question 04

1. State the main responsibilities of a quantity surveyor in the Construction Industry in Sri Lanka. (05 marks)
2. State the circumstances an employee can withdraw his benefits from EPF. (05 marks)
3. According to the Law of Tort, define "**professional negligence**". (05 marks)
4. Define the '**Collective Agreement**' according to the Industrial Dispute Act(05 marks)
5. What are the dispute settling methods which introduced under the Industrial Dispute Act? (05 marks)

(Total 25 marks)

Question 05

1. Write short notes on any 5 topics of following.
   a) Procurement Methods
   b) Content of bidding documents
   c) Procurement committees in Government Sector
   d) Contractor's risks in a contract
   e) Role of the Quantity Surveyor
   f) Force Majeure (5x5 marks)

(Total 25 marks)

Higher National Diploma in Quantity Surveying

Second Year, Second Semester Examination – 2018

QS 22032 Contract Law II (Marking Scheme)

Question 01

1. Explain the following terms with respect to liability in contract.
   a) Implied terms (02 marks)

   In a contract all terms might not be expressed, some terms can be incorporated in to the contract impliedly. Terms implied through,

   - Statute
   - By courts
   - Customs

   b) Exemption clauses (03 marks)

   There are certain rules regarding exemption of liability clauses as,

   - If a party signs a document which contains an exemption of liability clause even if the person didn't read it, he is bound by the clause.
   - Notice given by the party imposing exemption clause must be reasonably sufficient.
   - Exemption clause in a receipt or ticket given after the contract was made will not have contractual effect and etc.

2. What are the requirements for a contract in a Deed? (05 marks)

   A contract in a deed is a contract which is in writing and satisfies the following requirements:

   - The document must make it clear on its face that it is intended to be a deed by the person makes it.
   - The person making it must sign it in the presence of someone who attests his signature.
   - The document must be delivered by the person making it.

In some cases the contract itself must be expressed in writing and would be invalid if not contained in a written document. In other cases the contract is perfectly valid if made orally but if a dispute arises, it is necessary to prove its existence or contents in the court.

3. Briefly discuss the instances which a contract becomes frustrated. (05 marks)
   - By statutory intervention
   - By government intervention
   - By destruction of the subject
   - By physical impossibility
   - On non-occurrence of an expected event
   - By an art of gods
   - On sticks, natural disasters

   (1 mark each for any 5 of above mentioned)

4. Explain the possible methods of termination of a contract. (05 marks)
   - By performance
   - By agreement
   - Termination by notice
   - By frustration
   - By beach of contract

   (1 mark each)

5. What are the remedies for breach of contract? (05 marks)

   When a contract is broken, the injured party may have several courses of action open to him. They are;

   (i) to refuse further performance of the contract
   (ii) to bring an action for damages
   (iii) to use on a quantum merit
   (iv) to sue for specific performance
   (v) to sue for injunction

   (1 mark each)

(Total 25 marks)

Question 02

1. What are the objectives of the FIDIC? (05 marks)

FIDIC is the international federation of consulting engineers. Its objectives are;

i. Be the recognized international authority on issuing to consulting engineering best practice.
ii. Actively promote high standards of ethics and integrity among all stakeholders.
iii. Maintain and enhance FIDIC's representation of the consulting engineering industry worldwide.
iv. Enhance the image of consulting engineering.
v. Promote and assist the worldwide development of viable consulting engineering industries.
vi. Promote and enhance the leading position of FIDIC's forms of contract.
vii. Improve and develop FIDIC's training and publishing activities.
viii. To promote and encourage the development of young professionals in the consulting engineering industry.

(Any five give full marks – 1 for each objective)

2. How are the construction documents helping to design a project and administering the contract? (08 marks)

Construction documents are defined as the written and graphic documents prepared by the Architect or Engineer for communication the design of the project and administering.

There are two major groups as binding document and after the owner and the contractor agreement is signed these become contract documents.

Bidding documents are the invitation to bid, instruction to bidders, bid forms and attachments, bid-data sheets, letter of bids. Form of bid security, technical proposal forms and bidders qualifying forms.

According to these contracts documents an agreement performance bond and advanced payment bond are helping to design the project and administering the contract both.

3. What are the methods of Public Procurement? (05 marks)

There are five methods;

i. Open Tender Procedure (Manual 115-117p)
ii. Limited Tender Procedure (Manual 118p)
iii. Single Tender Procedure (Manual 119p)
iv. Procurement without Tender (Manual 120p)
v. Procurement through communities (Manual 121p)

(1 mark each)

4. Briefly explain a JCT contract as a standard form contract. (07 marks)

Joint Contract Tribunal or the JCT contracts provide a basis for how the construction contracts should be. They were initially introduced in the UK. They mainly cover the area of time, cost and quality.

Suite of standard forms means a group of all the mutually consistent documents necessary to operate a particular method of procurement and produced to enable them to be used together including the applicables and consultant agreements, main contract between the employer and the main contractor, sub-contractor between the main contractor and its sub-contractors, a design agreement between an employer and a specialist designer, a form of contract for its supply of goods, forms of bonds and collateral warranties.

(Total 25 marks)

Question 03

1. Distinguish contract of service from contract for services. (05 marks)

The contract of service giving rise to the master and servant relationship, while the contract for services arises an employer and independent contractor relationship. Labour law gives all the benefits and protections to a workman and not to an independent contractor.

2. Calculate the maternity leave for 3rd baby of Mrs. Thamari who is working with "Udaya Engineering Constructions (Pvt) Limited. (05 marks)

Before confinement 14 days
After confinement 28 days } (04 Marks)
Total = 42 days (01 Mark)

3. Identify the sector of each employee given below and briefly discuss the laws applicable to each of the following worker/ employee.

a) Kapila who works as a valuation officer in the Department of Valuation (01 marks)

Government sector (public sector), Establishment Code

b) Nirmal who works as a human resource manager in Opel (Pvt) Ltd. (02 marks)

Mercantile sector, Shop and Office Employee Act as well as EFF, EPF and Payment of Gratuity Act

c) Siripala who worked for 5 days as a labourer in the "Athukorala Tea Estate" (02 marks)

Plantation sector, Wages Boards Ordinance as well industrial Dispute Act, Payment of Gratuity Act

4. Sampath has been employed for 20 years in Marga Construction (Pvt) Limited which has 150 employees. When he resigns the job he received the salary of Rs. 60,000/=. Calculate the amount of gratuity entitled by Sampath under the Gratuity Act. (05 marks)

Gratuity = Last Salary x $\frac{1}{2}$ x No. of service years *(02 marks)*

= 60000 x $\frac{1}{2}$ x 20 *(02 marks)*

= Rs. 600000 *(01 marks)*

5. How can be summarized the Project Life Cycle a construction project as stages? (05 marks)

Most of construction projects' life cycles start with low costs and resources and high risk and uncertainties.

The life cycle of a typical construction projects could be summarize as follows.

- Stage 1 – represents the project formulation, feasibility studies and the strategic decisions for project continuity.
- Stage 2 – represents planning, basic design, budgeting, tendering and placing the project major contracts.
- Stage 3 – involves the construction phase of the project equipment, installation and testing.
- Stage 4 – represents the final phase in the project which includes the project turnover, final testing and startup.

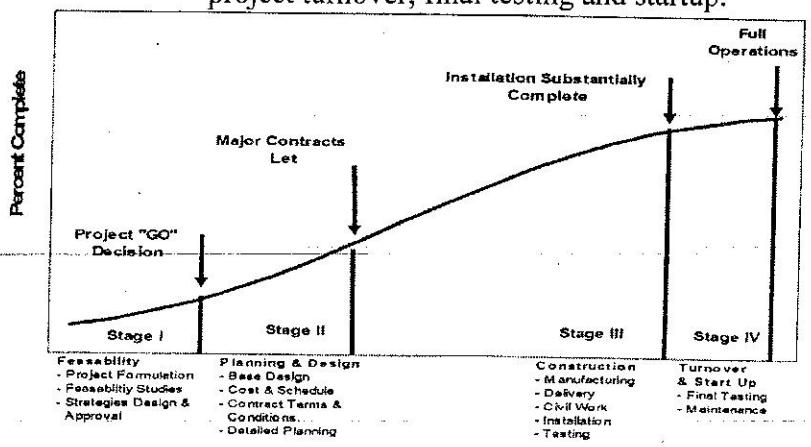

Figure 1.1 : Construction Projects Life-Cycle (Ref: PMBK, 2000)

(Total 25 marks)

Question 04

1. State the main responsibilities of a quantity surveyor in the Construction Industry in Sri Lanka.

(05 marks)

- Conducting feasibility studies to estimate materials, time and labour costs
- Preparing, negotiating and analyzing costs for tenders and contracts
- Coordination of work effort
- Advising on a range of legal and contractual issues
- Valuing completed work and arranging for payments
- Allocating upcoming work to contractors

(give Marks for any 05 of above mentioned)

2. State the circumstances an employee can withdraw his benefits from EPF. (05 marks)

- On retirement male 55, female 50
- On becoming permanent in capacity
- On marriage after 5 years of removal of employment
- On migrating with intention for not returning to Sri Lanka
- Joining public service with pension facility
- On conversion government business in to government corporation
- On closure of the corporation

(give Marks for any 05 of above mentioned)

3. According to the Law of Tort, define "**professional negligence**". (05 marks)

A tort is a civil wrong which gives vise to a private, civil action commenced by the plaintiff against the defendant. Negligence is one of the large numbers of listed torts.

Negligence has been defined as the commission to do something which a reasonable man would do or doing something which a prudent and reasonable man would not do. Professional negligence is all professional persons as doctor, engineer, broker, solicitor owe a duty of care to persons having a professional relationship with them.

Having established a duty of care that must be proved by a plaintiff is that there has been a breach of this duty of care due to negligence.

4. Define the '**Collective Agreement**' according to the Industrial Dispute Act(05 marks)

Section 5 of the Industrial Dispute Act defines a 'collective agreement' to mean an agreement which is between any employer or employers as one party and any workman or any trade union or unions consistent of workmen as the other party and which relates to the terms and conditions of employment of any workman or to the privileges, rights, duties of any employer or employers or any workman or any trade union or unions consisting of workmen or to the manner of settlement of any Industrial Dispute.

Section 6 requires that every collective agreement be forwarded to the commissioner who shall cause it to be published in the Gazette.

(Give full marks to the section 5)

5. What are the dispute settling methods which introduced under the Industrial Dispute Act? (05 marks)

   i. Conciliation
   ii. Arbitration
   iii. Labour tribunal
   iv. Industrial court
   v. Collective agreement

(Give 1 mark each)

(Total 25 marks)

Question 05

1. Write short notes on any 5 topics of following.
   a) Procurement Methods

   - International competitive bidding
   - National competitive bidding
   - Limited/ restricted international competitive bidding
   - Limited/ restricted national competitive bidding
   - Shopping
   - Registration of suppliers
   - Yellow pages and rainbow pages
   - Direct contracting
   - Repeat orders
   - Force account
   - Emergency procurement and etc.

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b) Content of bidding documents

The set of bidding documents comprises the documents the documents listed below

Volume 01
Section 1 instructions to bidders
Section 2 Standard forms [contract]
Section 3 Conditions of contract
Volume 02
Invitation to bid
Section 4 from of bid and qualification information
Section 5 Bidding data and contract data
Section 6 Specifications
Section 7 Bills of Quantities
Section 8 Drawings
Section 9 Standard forms (bid)

c) Procurement committees in Government Sector

- Ministry procurement committee
  The secretary to the line Ministry shall appoint the MPC

- Department Procurement Committee
  The secretary to the line Ministry shall appoint the DPC

- Project procurement committee
  The secretary to the line Ministry shall appoint the PPC

- Regional procurement committee
  Heads of department having a large number of regional/ district offices may set up RPCs under delegated authority or with the approval of the secretary to the line Ministry on a case by case basis.

d) Contractor's risks in a contract

From the start date until the final certificate has been issued, the risks of personal injury, death and loss of damage to property (including without limitation, the works, plant, materials and equipment) which are not employer's risks are contractor's risks.

e) **Role of the Quantity Surveyor**

Pre-contract stage - Quantity Surveyor should prepare and develop preliminary cost plan, advice on cost of design team's proposals. Moreover, monitor cost implications during the detailed design stage, maintain and develop cost plan.

Tendering Stage - Quantity Surveyor should advise on the contractual documentation to clients. Moreover, Quantity Surveyor also needs to prepare recommendations for interim payments, post-contract cost control and final account. Furthermore, Quantity Surveyor should provide and price bills of quantities, prepare cost analysis, advice on financial implications, advise on the use of areas and provide a measurement of areas, provide advice on contractual matters.

f) **Force Majeure**

Force Majeure means an event which beyond party's control, such as a flood, earthquake, hurricane or volcanic eruption, war, strike, riot crime or an event described by the legal term act of god, prevents one pr both parties from fulfilling their obligations under the contract. In practice most force majeure clauses do not excuse a party's non-performance entirely but only suspend it for the duration of the Force Majeure.

According to Clause 19.6 of FIDIC, it provides that, if the substantial execution of works is being prevented for a period of 84 consecutive days or multiple periods which total over 140 days, then either party may give notice of termination to the other. The termination is due to take place 7 days after the notice has been given. Upon such a termination, the Engineer must determine the value of the work done and issue a payment certificate. Clause 19.7 further provides for a release of performance for circumstances outside the control of the parties even if such is not considered a Force Majeure.

(5x5 marks)

(Total 25 marks)